

Serbia

Commission for Protection of Competition

I. Introduction

In recent years, competition law discourse has largely revolved around major global players, large-scale mergers, algorithmic collusion, AI regulation, and complex cross-border enforcement. Yet in concentrating on these high-profile matters, we may have overlooked fundamental market realities. In the Republic of Serbia, micro, small, and medium-sized enterprises (MSMEs) form the backbone of the national economy, playing a vital role not only in economic development but also in social empowerment. It is therefore essential that competition policy is not just reactive and high-level, but also inclusive, practical, and accessible—especially for MSMEs.

II. MSMEs in the Serbian Economy: More Than Just Numbers

According to 2023 data from the Statistical Office of the Republic of Serbia, out of 110,287 registered companies:

- 94,078 were micro enterprises (85.3%);
- 12,613 were small (11.4%);
- 2,953 were medium (2.7%);
- only 643 were large companies (0.6%).

Collectively, MSMEs make up over 99% of active companies, contribute 57.7% to GDP, and employ more than 65% of the country's workforce.

These enterprises span traditional sectors such as retail and wholesale trade, simple manufacturing, beauty and wellness services, hospitality, vehicle maintenance, construction, real estate, education, healthcare, and more. They are the drivers of local economies, yet individually they often face structural disadvantages: limited budgets, a small workforce, and a lack of legal or technical support.

III. Challenges in the Application of Competition Law

While large firms may have legal departments and access to top-tier law firms, MSMEs typically do not. For many, navigating the complexity of competition law can be an overwhelming and resource-draining task. From the perspective of the

Commission for Protection of Competition (CPC), this creates a gap in legal access and enforcement efficacy.

Common barriers include:

- Lack of awareness or understanding of competition rules;
- Inability to identify or report anti-competitive conduct;
- Fear of retaliation when confronting dominant firms;
- Limited engagement in compliance due to cost or complexity.

IV. Steps Toward a Pro-MSME Competition Policy

To address these challenges, the CPC has taken proactive steps to make competition law and policy more accessible and applicable to MSMEs. The aim is not only to protect small businesses from anti-competitive behavior, but also to empower them as active market participants. Key initiatives are summarized below.

A. Awareness and Education

The CPC developed tailored seminars, practical checklists, and compliance programs to promote and alleviate understanding and implementation of competition rules.

B. Cooperation with National Institutions

The CPC has signed several Memoranda of Understanding (MoUs) with institutions such as the Chamber of Commerce, the Serbian Business Registers Agency, and the Public Policy Secretariat, etc. These partnerships foster secure knowledge exchange and joint action in promoting fair competition.

In cooperation with the Chamber of Commerce, the CPC organized a series of meetings with businesses and relevant stakeholders to present and promote the compliance program. These events provided a platform for open dialogue, practical guidance, and feedback from the business community, particularly MSMEs, on how to effectively implement competition rules within their operations.

C. Regulatory Improvements

In cooperation with OECD and the Public Policy Secretariat, the CPC developed a regulatory checklist designed to ensure that draft laws and other legislative proposals

are aligned with competition principles. The checklist also aims to simplify the legislative process for policymakers and to enhance the integration of competition law into broader policymaking efforts. Given that the Secretariat reviews a high volume of legislative initiatives, the checklist serves as a practical tool for identifying potential anti-competitive effects and promoting regulatory coherence.

Additionally, the CPC, the Public Policy Secretariat, and the National Academy for Public Administration is currently in the process of launching a series of specialized seminars focused on integrating competition law into the policymaking process. The target audience includes officials from ministries and government bodies, particularly those from the Ministries of Trade, Agriculture, Environmental Protection, Energy, and others whose work involves drafting legislation. This initiative helps embed a culture of competition awareness in the early stages of policy design. It also helps MSMEs gain access to and better understand competition rules, particularly through participation in legislative working groups—either individually or via various business associations and initiatives. This fosters a two-level collaboration process based on understanding, engagement, and active involvement, enabling even lawmakers to gain a clearer understanding of the importance of safeguarding competition.

D. Sectoral Market Analysis as a Policy Instrument

Recognizing the need for evidence-based policymaking, the CPC has emphasized the importance of sectoral market analyses as a tool for understanding competition dynamics and recommending informed regulatory interventions. One notable example from CPC practice is the sector inquiry into the courier services market, conducted with the support of the Regulatory Agency for Electronic Communications and Postal Services (RATEL). This analysis identified key challenges in market structure and competition, particularly for smaller courier companies. Several of the CPC's recommendations were incorporated into the draft Law on Postal Services, illustrating how sectoral insights can directly shape legislative reforms. Such efforts are crucial for improving market conditions, fostering business growth, and ensuring fair competition, especially in sectors dominated by a few large players.

E. Accessible Education Through Multimedia Content

In collaboration with the UK Competition and Markets Authority (CMA), the Commission has developed a series of educational videos on its YouTube channel that

simplify complex competition rules. Covering topics such as bid-rigging in public procurement, abuse of dominant position, dawn raids, and cartel detection- these videos provide clear, practical guidance. The format has proven effective, as it delivers key competition law concepts in a concise and easily understandable way. These materials are particularly helpful for MSMEs that may not have access to formal legal education or consultancy. In addition, the CPC has provided numerous materials and guidelines that are easily accessible on its website, aimed at supporting the process of monitoring and complying with competition rules.

V. Conclusion

The Republic of Serbia, with a population of approximately six million people, represents a relatively small but highly dynamic market influenced by both international and domestic actors. Due to its geostrategic position—often described as a ‘house in the middle of the road,’ a term coined by renowned scientist Jovan Cvijić—Serbia’s economy is diverse and interactive. A significant number of our MSMEs are engaged in cross-border trade, conducting import and export activities with various countries.

In this context, learning from international experiences and engaging in global cooperation is essential for the continued development of effective and fair competition policy. More importantly, in today’s globalized environment, economies are closely interlinked, and issues related to competition and market regulation are often common across jurisdictions.

Therefore, it is imperative to build a harmonized framework that enables both competition authorities and market participants to navigate the national and global economic landscape more effectively. Only through cooperation, shared learning, and coordinated efforts can we ensure that competition policy remains responsive, inclusive, and future-oriented.